

Quarterly Investment Report

Q1 2021 - Spirax-Sarco Engineering Pension Plan

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	58.5%	+1.62%	+3.54%
Credit	23.0%	+0.79%	-0.69%
Equities	8.2%	-0.50%	-0.22%
Property	7.3%	+1.38%	+3.10%
Cash	7.5%	+1.00%	+3.40%

Market Commentary

During Q1 2021, gilt yields moved by approximately +21bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.